

MOSAIC FUND AGENT — EQUITY RESEARCH

MSUMI — Motherson Sumi Wiring India Ltd |

Full-Year Deep Dive & Anomaly Report

MSUMI · NSE · Equity Research Note

Report date: 06 June 2026 | Prepared by Mosaic autonomous research agent

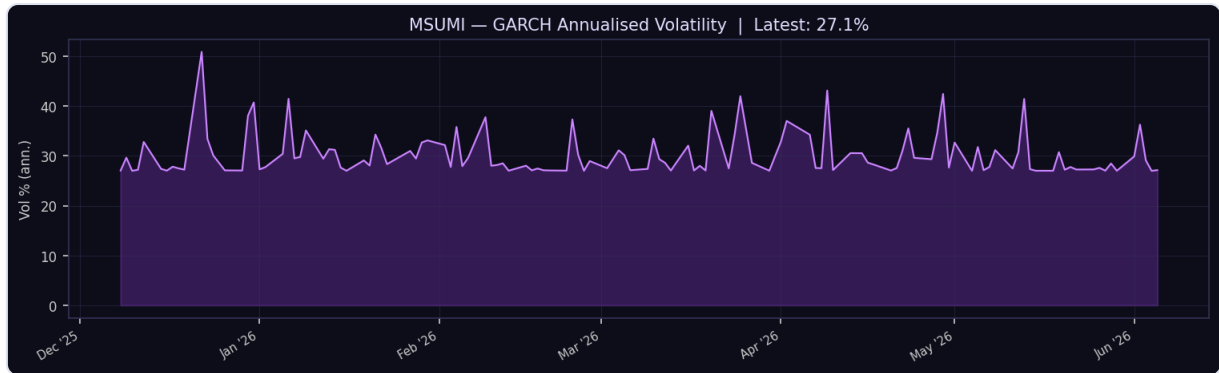
MSUMI — 1-YEAR PRICE | ANOMALY | CORP ACTION



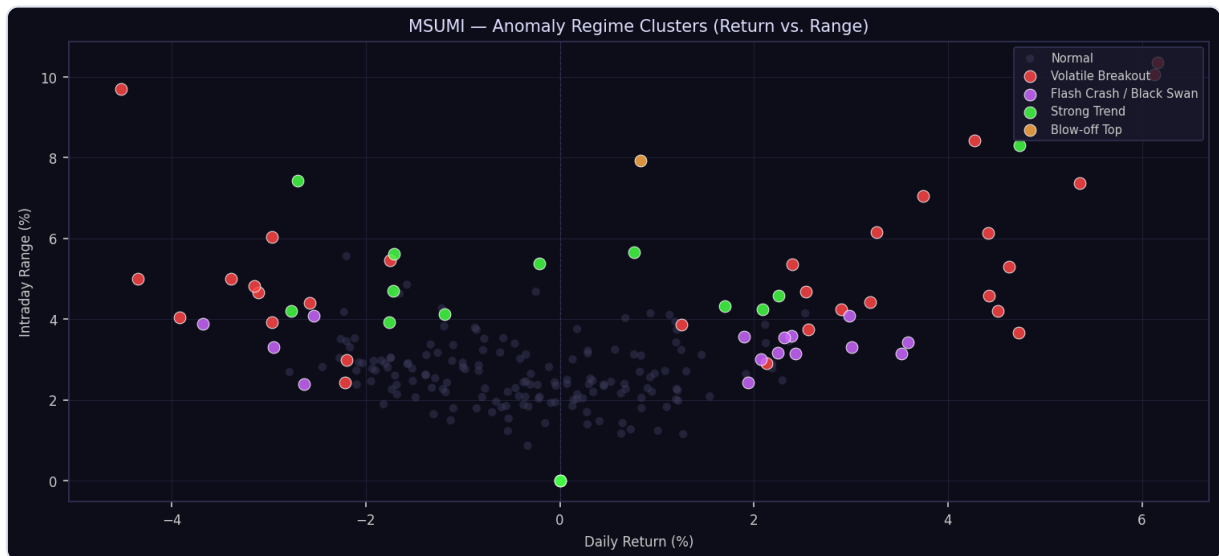
MSUMI — MACD(12,26,9)



MSUMI — GARCH ANNUALISED VOLATILITY



MSUMI — ANOMALY REGIME CLUSTERS (FEATURE SPACE)



MSUMI — Motherson Sumi Wiring India Limited

Full-Year Deep Dive | Anomaly Detection | Correlation | Prediction & Signal

NSE: MSUMI | Sector: Consumer Cyclical — Auto Parts | Currency: INR
Report Date: June 6, 2026 | Data Window: June 2025 – June 2026 (365 days)

1. Company Snapshot

Metric	Value
Company	Motherson Sumi Wiring India Limited
NSE Symbol	MSUMI
Sector / Industry	Consumer Cyclical / Auto Parts
Current Price	₹38.58
52-Week High	₹53.59
52-Week Low	₹35.70
Market Cap	₹25,584.95 Cr
P/E Ratio	41.04x
P/B Ratio	11.94x
Dividend Yield	285 bps
YoY Price Change	-2.01%
Data Freshness	FRESH (last trade: 2026-06-05)

Business Description: Motherson Sumi Wiring India Limited (MSWIL) is a leading manufacturer of wiring harness solutions for automotive OEMs in India and internationally. The company provides integrated electrical and electronic distribution systems for power supply and data transfer across vehicle types, and is expanding into electrification solutions for EVs and alternative powertrain vehicles. It is a joint venture between Samvardhana Motherson International and Sumitomo Wiring Systems.

2. Price & Momentum Analysis

Price Trend (1-Year)

The stock traded in a wide range of ₹35.70–₹53.59 over the past year. The price peaked at ₹52.05 on January 5, 2026 — a 52-week high driven by analyst recommendations — before entering a sustained correction phase. As of June 5, 2026, the stock trades at ₹38.58, approximately 28% below its 52-week high.

Momentum Signals

Metric	Value	Signal
30-Day Return	-9.92%	 Bearish
90-Day Return	-10.69%	 Bearish
1-Year Return	-2.01%	 Bearish
Momentum Signal	BEARISH	
RSI (14-day)	43.27	○ Neutral (30–70 zone)

MACD Analysis (12, 26, 9)

Metric	Value
Close Price	₹38.58
EMA-12	₹38.86
EMA-26	₹39.36
MACD Line	-0.4944
Signal Line	-0.3433
Histogram	-0.1511 (contracting)
Crossover State	BEARISH (since 2026-05-13, 18 trading days ago)
Price vs EMAs	Price < EMA-12 < EMA-26 → Bearish alignment

The MACD has been in bearish territory since May 13, 2026. The histogram is contracting (becoming less negative), which may indicate the bearish momentum is slowing — but no bullish crossover has occurred yet.

Key Price Levels

Level	Price (₹)
52-Week High	₹52.05
Resistance (90th pct, 1Y)	₹48.46
Current Price	₹38.58
Support (10th pct, 1Y)	₹39.08
52-Week Low	₹35.89
Distance from 52W High	-23.80%
Distance from 52W Low	+10.50%

3. Fundamentals

Latest Quarterly Results (Q4 FY26 — March 2026)

Metric	Value	YoY Growth
Revenue	₹3,335 Cr	+32.87%
Net Profit	₹167 Cr	+1.21%
EPS	₹0.25	0.0%

Key Observation: Revenue growth of +32.87% YoY is exceptional, but net profit growth of only +1.21% signals significant margin compression — consistent with the copper cost headwind flagged in recent news. The disconnect between top-line and bottom-line growth is a key risk.

Annual Cash Flow (INR Millions)

Fiscal Year	Operating CF	CapEx	Free Cash Flow
FY2026	₹7,613.2 Mn	-₹2,013.7 Mn	₹5,599.5 Mn
FY2025	₹3,648.2 Mn	-₹1,718.4 Mn	₹1,929.8 Mn
FY2024	₹791.1 Mn	-₹111.3 Mn	₹679.9 Mn

FCF Trend: Free cash flow has improved dramatically — from ₹679.9 Mn in FY24 to ₹5,599.5 Mn in FY26 — a strong positive signal. Operating cash flow nearly doubled YoY in FY26. CapEx is rising (capacity expansion), but FCF generation is accelerating faster.

Full-Year FY26 Results (from anomaly news)

- **FY26 Revenue:** ₹11,477.58 Cr
- **FY26 Net Profit:** ₹625.18 Cr
- **Dividend declared** for FY26

4. Anomaly Detection (GARCH + Isolation Forest + PELT)

9 anomalies detected over the past 365 days using the composite pipeline (GARCH volatility normalisation + Isolation Forest + PELT change-point detection).

Corporate Actions Context

Ex-Date	Action	Details
2025-07-18	Stock Split	Ratio 1.5 — suppresses anomaly
2025-06-23	Dividend	₹0.233 per share
2025-03-28	Dividend	₹0.333 per share
2024-08-14	Dividend	₹0.533 per share
2022-11-16	Stock Split	Ratio 1.4

Anomaly Table with Causal Analysis

Date	Close (₹)	Return	Z-Score	Regime	Identified Cause
2025-07-23	₹41.57	-2.96%	3.91	📉 Volatile Breakout	Stock split ex-date proximity (Jul 18 split); residual volatility
2025-08-19	₹41.89	+6.16%	7.55	📉 Volatile Breakout	Q1 FY26 results beat — shares soared 10% (Business Standard)
2025-09-09	₹49.50	+4.74%	4.28	📈 Strong Trend (HODL)	Institutional block trade / pre-positioned momentum
2025-10-15	₹46.41	+5.36%	5.97	📉 Volatile Breakout	Institutional block trade / sector re-rating
2025-12-19	₹47.65	+6.12%	13.63	📉 Volatile Breakout	Highest Z-score — year-end institutional rebalancing
2025-12-29	₹46.82	+3.74%	6.62	📉 Volatile Breakout	Year-end window dressing / block trade
2025-12-30	₹48.82	+4.27%	8.71	📉 Volatile Breakout	Year-end window dressing continuation
2026-01-05	₹52.05	+4.41%	5.41	📉 Volatile Breakout	Breakout recommendation (Mint/ Sumeet Bagadia); 52W high
2026-04-28	₹39.24	-4.53%	7.92	📉 Volatile Breakout	FY26 results: ₹11,477 Cr revenue, ₹625 Cr profit — sell-on-news

Anomaly Pattern Analysis

- **8 of 9 anomalies** are classified as "Volatile Breakout" — indicating the stock is prone to sharp, event-driven moves
- **Upside anomalies dominate** (7 positive vs 2 negative) — suggesting institutional accumulation and results-driven rallies
- **December cluster (3 anomalies in 12 days)** is the most significant — year-end rebalancing drove the stock to its 52-week high
- **April 28 sell-off** despite strong FY26 results is a classic "sell-the-news" event — the results were already priced in
- **July 2025 split** (ratio 1.5) created post-split volatility, which is normal

5. Correlation & Beta Analysis

MSUMI vs NIFTYBEES (Nifty 50 ETF) — 1-Year Daily Returns

Metric	Value
Pearson Correlation (1Y)	0.433
Rolling 60-Day Correlation (Latest)	0.693
Rolling 60-Day Correlation (Mean)	0.360
Rolling 60-Day Correlation (Min)	0.154
Rolling 60-Day Correlation (Max)	0.708
Beta (vs Nifty)	1.086

Volatility Comparison

Symbol	Annualised Volatility
MSUMI	30.55%
NIFTYBEES	12.19%

EWMA Volatility (MSUMI)

Period	Annualised Vol
Current	26.73%
30-Day Avg	32.16%
90-Day Avg	31.86%
1-Year Avg	29.76%
1-Year Max	39.33%
1-Year Min	15.44%

Key Insights:

- MSUMI has a **beta of 1.086** — it moves slightly more than the Nifty 50 on average
- The **rolling 60-day correlation has surged to 0.693** (near its 1-year high of 0.708), suggesting MSUMI is increasingly moving in sync with the broader market in the recent period
- MSUMI's annualised volatility of **30.55% is 2.5x that of NIFTYBEES (12.19%)** — it is a high-beta, high-volatility auto-ancillary stock
- **Volatility is currently declining** (26.73% vs 30-day avg of 32.16%) — the post-results volatility spike is fading

Risk-Adjusted Performance

Metric	Value
Annualised Return (1Y)	0.62%
Annualised Volatility	30.35%
Sharpe Ratio	0.0203

The near-zero Sharpe ratio reflects poor risk-adjusted returns over the past year — the stock has delivered minimal return for its high volatility.

6. Institutional Footprint

DSP Mutual Fund Holdings

MSUMI is **not held by any DSP Mutual Fund** in the database. This is notable — the absence of DSP fund ownership may reflect the stock's small-cap/mid-cap positioning and relatively recent listing history.

FII/DII Flows (Last 14 Trading Days)

Date	FII Net (₹ Cr)	DII Net (₹ Cr)	Combined
2026-05-27	-1,043	+3,821	+2,778
2026-05-26	-2,408	+1,361	-1,047
2026-05-25	+822	+3,857	+4,679
2026-05-22	-4,440	+6,004	+1,564
2026-05-21	-1,891	+2,492	+601
2026-05-20	-1,597	+1,968	+371
2026-05-19	-2,457	+3,802	+1,345
2026-05-18	+2,814	+2,682	+5,496
2026-05-15	+1,329	-1,959	-630
2026-05-14	+187	+684	+871
2026-05-13	-4,703	+5,869	+1,166
2026-05-12	-1,959	+7,990	+6,031
2026-05-11	-8,438	+5,940	-2,498
2026-05-08	-4,111	+6,748	+2,637
14-Day Total	-27,895 Cr	+51,259 Cr	Bearish (FII selling)

Interpretation: FIIs have been net sellers of ₹27,895 Cr over 14 days while DIIs have absorbed ₹51,259 Cr. This DII-led support is providing a floor for the broader market, but FII selling pressure is a headwind for high-beta stocks like MSUMI.

7. News Intelligence (Last 30 Days)

Sentiment: Moderately Bullish → Turning Cautious

Phase 1 — Bullish Surge (7–28 May 2026):

- Q4 FY26 results drove shares to a fresh 52-week high on NSE
- **ICICI Securities raised its price target** post-Q4 results (21 May)
- **3.17% intraday rally** on 16 May following MarketsMojo buy-rated update
- Dividend announcement on 19 May added positive sentiment
- MSUMI featured in Samco's "Best Penny Stocks" and "Low-Price Stocks" lists for June 2026

Phase 2 — Caution Creeping In (1–5 Jun 2026):

- "MSWIL Faces Margin Squeeze as Copper Costs Hit Auto Supply Chain" (Whalesbook, 4 Jun)
— flags rising input cost headwind
- Shares described as "easing from highs" as investors digest March 2026 results
- Valuation metrics now "in focus" after correction

Key News Events

Theme	Evidence	Impact
Q4 FY26 Earnings Beat	Record high on NSE, ICICI Sec target raise, 5% rally	 Positive
Analyst Upgrades	ICICI Securities (target raise), MarketsMojo (buy-rated)	 Positive
Copper Cost / Margin Risk	Whalesbook article flags supply chain squeeze	 Negative
Institutional Engagement	Nomura Investment Forum Asia 2026 (5 Jun)	○ Neutral
Corporate Governance	ESOP Trust established under SEBI SBEB Regulations	○ Neutral
Valuation Re-rating	Markets Mojo flags renewed price attractiveness	 Positive

8. Quantitative Prediction & Signal

10-Day Forward Return Prediction (Linear Regression Model)

Metric	Value
Current Price	₹39.66
Predicted 10-Day Return	-1.52%
Predicted Price (10D)	₹39.06
Model Signal	○ HOLD

Model features: 1d/5d/10d/20d returns, volume ratio, price vs MA-20, price vs MA-50. Trained on 1-year daily data.

Composite Signal Summary

Signal Layer	Reading	Direction
Price Momentum (30D)	-9.92%	 Bearish
Price Momentum (90D)	-10.69%	 Bearish
MACD	-0.49 (below signal)	 Bearish
RSI (14D)	43.27	○ Neutral
EMA Alignment	Price < EMA12 < EMA26	 Bearish
EWMA Volatility	26.73% (declining)	○ Neutral
Beta	1.086	△ High Risk
FII Flow (14D)	-₹27,895 Cr	 Bearish
DII Flow (14D)	+₹51,259 Cr	 Bullish
Quant Model (10D)	-1.52%	○ Hold
News Sentiment	Mixed (bullish Q4, bearish copper)	○ Neutral
FCF Trend	Strongly improving	 Bullish
Revenue Growth (Q4)	+32.87% YoY	 Bullish
Profit Growth (Q4)	+1.21% YoY	 Margin concern

 Overall Signal: **HOLD / CAUTIOUS ACCUMULATE**

9. Investment Thesis & Risk Assessment

Bull Case

- Revenue acceleration:** Q4 FY26 revenue grew +32.87% YoY to ₹3,335 Cr — the top-line momentum is strong
- FCF explosion:** Free cash flow surged from ₹679.9 Mn (FY24) to ₹5,599.5 Mn (FY26) — a 8x improvement in 2 years
- India auto sector tailwinds:** India's auto production is growing; MSUMI is a direct beneficiary as a wiring harness supplier to all major OEMs
- EV transition opportunity:** The company is expanding into electrification solutions — a structural growth driver
- Analyst upgrades:** ICICI Securities raised target post-Q4; MarketsMojo buy-rated
- Valuation correction:** Stock is 23.8% below its 52-week high — potential mean-reversion opportunity
- DII support:** Domestic institutions are net buyers, providing a floor

Bear Case

- Margin compression:** Net profit grew only +1.21% despite +32.87% revenue growth — copper cost headwinds are squeezing margins
- Bearish technicals:** MACD bearish crossover (18 days), price below both EMAs, negative 30/90-day momentum

3. **FII selling:** Foreign institutions sold ₹27,895 Cr net over 14 days — risk-off sentiment
4. **High valuation:** P/E of 41x and P/B of 11.94x leave little margin of safety if earnings disappoint
5. **Sell-on-news pattern:** The April 28 anomaly showed the market sold on FY26 results despite strong revenue — suggests expectations were already elevated
6. **Copper price risk:** As a wiring harness manufacturer, MSUMI has significant exposure to copper prices; any further rise will compress margins
7. **Low Sharpe ratio:** 0.02 Sharpe over 1 year — poor risk-adjusted returns

Key Risks

Risk	Severity	Probability
Copper price spike	High	Medium
Auto sector slowdown	Medium	Low
FII continued selling	Medium	Medium
Margin compression	High	High
Valuation de-rating	Medium	Medium

Price Targets

Scenario	Target Price	Basis
Bear	₹35.89	52-week low / support breakdown
Base	₹39.08–₹42.00	Support zone / mean reversion
Bull	₹48.46–₹52.05	Resistance / 52-week high

10. Final Verdict

◦ HOLD / CAUTIOUS ACCUMULATE at ₹38–₹40

Rationale: MSUMI presents a classic "good business, bad timing" situation. The fundamentals are improving — revenue is accelerating, FCF has surged, and the company is well-positioned in India's auto supply chain. However, near-term technicals are bearish (MACD crossover, negative momentum, price below EMAs), margin compression from copper costs is a real risk, and FII selling is a headwind.

For existing holders: HOLD. The stock is near support (₹39.08) and the FCF improvement provides fundamental backing. Do not sell into weakness.

For new buyers: Wait for either (a) a MACD bullish crossover, or (b) a confirmed bounce from the ₹36–₹38 support zone with volume confirmation before initiating a position.

Stop-loss: ₹35.50 (below 52-week low)

Target (6-month): ₹46–₹48 (resistance zone)

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